

Tesla, Inc.
TSLA NASDAQ

Hold	\$353.46 ▲ 0.18%	12M Price Target \$385.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.40T
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TSLA: Delivery Jitters Meet AI Ambition, Stock Drifts

WHAT HAPPENED

- Stock is bleeding into Q3 delivery numbers — down ~6.5% in a week on Wall Street chatter that deliveries will drop ~7% year-over-year. Translation: the Street is pre-positioning for a bad print, which is why volume spiked Thursday/Friday but today's tape is quiet (people waiting).
- Two things partially offsetting the gloom: Tesla drew down a fresh \$25B credit line (Barron's framing: they're funding the AI/robotaxi push), and Croatia approved supervised FSD — small market, but it's another regulatory domino in Europe where they've been stuck for years.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Q3 deliveries print worse than the already-bad -7% expectation on Oct 2 — that cracks the "auto business is stabilizing" story and sends the stock to \$320s.
- The \$25B credit facility means more debt/interest expense hitting earnings just as EV tax credits disappear — the auto business could go cash-flow negative in 2027 if volumes don't recover.
- Nobody's talking about this: China. BYD is eating Tesla's lunch in the world's biggest EV market, and any US-China tariff escalation cuts both ways — Tesla's Shanghai factory exports to Europe, so tariffs hit them too.

IN THE NEWS

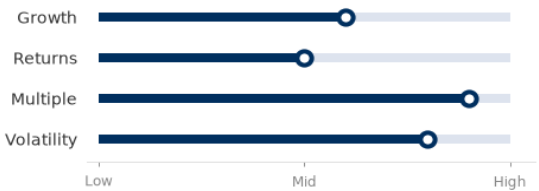
- Nvidia CEO Jensen Huang: AI data center build-out could create 1 million jobs and reshape ...** Yahoo Finance · 2026-09-30 11:07
- What we know about Trump's meeting with Alex Karp, Jensen Huang, & other AI leaders** Yahoo Finance Video · 2026-09-29 19:40
- Wall Street Expects A 7% Drop In Tesla Q3 Deliveries; The Stock Keeps Falling** Investor's Business Daily · 2026-09-30 17:03
- S&P 500, Nasdaq advance as soft inflation tempers Fed rate-hike bets** Reuters · 2026-09-30 16:05
- Why Tesla's \$25 Billion Credit Line Is a High-Stakes Bet on AI and Robotaxis** Barrons.com · 2026-09-30 15:28

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$353.46
12M Price Target	\$385.00
Upside / (Downside)	+8.9%
Market Cap	\$1.40T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	164.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$385.00	\$355.00	\$325.00
6 Months	\$450.00	\$380.00	\$300.00
1 Year	\$520.00	\$385.00	\$275.00
2 Years	\$650.00	\$425.00	\$240.00
5 Years	\$900.00	\$500.00	\$200.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.99%) and Energy (+0.91%) — tech is riding the Huang/AI infrastructure narrative and softer CPI (means Fed less likely to hike, which helps growth stocks). Energy popping on Middle East risk premium.

COOLING OFF: Materials (-2.36% over 5 days) and Consumer Discretionary (-1.30%) — discretionary weakness is notable because that's where TSLA lives on paper, though it trades more like a tech stock now.

ROTATION WATCH: Money is rotating from cyclicals into AI/tech mega-caps as rate-cut hopes firm up. TSLA sits at the messy intersection — hurt by "consumer discretionary" tag, helped by "AI/robotics" tag.

RELATED PLAY: If you believe the robotaxi story, the picks-and-shovels play is NVDA (Tesla buys their chips for AI training) and the lidar/sensor names — though Musk famously hates lidar, so stick with NVDA.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Huang's "1 million jobs" comments and White House access are keeping the AI infrastructure trade alive.
- PLTR (Palantir): Karp's presence at the Trump AI meeting = expanding federal contract pipeline.

TSLA CONTEXT: TSLA is lagging the AI cohort badly right now — while NVDA and PLTR ride the policy narrative, TSLA is stuck defending its car business. That gap closes if the market starts treating TSLA as an AI stock again post-earnings — that's the setup to watch.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive. The setup into deliveries is asymmetric (bad news priced in), but I can't pound the table at 164x earnings.

POSITION SIZE: 2-4% — the volatility is real (52-week range spans \$297 to \$499, that's a 68% swing), so size accordingly.

ENTRY POINTS: I'd add on a delivery-day flush into the \$320s. Chasing above \$380 pre-earnings is a bad risk/reward.

TIME HORIZON: 12-24 months — you're waiting for the robotaxi commercial rollout to prove out and for Optimus to become a real product line.

WHEN TO BAIL: If Q3 earnings show auto gross margins below 15% AND no concrete robotaxi/Optimus milestones, the thesis is broken. Also bail if Musk gets pulled deeper into politics/DC drama — it's already a distraction.

HEDGING: Simplest hedge — own less of it. If you want fancier, buy a put spread around earnings (basically insurance that pays off if the stock craters) or pair with a short on Ford/GM to isolate the "Tesla-specific" bet.